

Livestock Rent

From Brazilian livestock credit to institutional onchain infrastructure

BRAZIL-FIRST	CREDIT-ORIENTED	REAL-ASSET DATA	USDC SETTLEMENT
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Tokenization has an institutional product gap, not an attention gap. Livestock Rent is designed as a differentiated credit and servicing platform - not a speculative cattle token.

WHY IT BELONGS ON AN ALLOCATOR'S RADAR

A different real-asset return driver Brazilian cattle cash flows are driven by biological productivity, agricultural credit, farm execution, commodity spreads and BRL/USD - not crypto beta.	Credit products, not token novelty Eligible livestock obligations are intended to use CPRs, B3 registration and a CRA structure, with tokenization supporting administration and evidence.
Customization inside the product Separate vintages can vary by duration, strategy, region, operator, concentration, reserve policy and currency treatment.	Old and new infrastructure coexist Brazilian legal records remain controlling. Onchain tools improve reconciliation, permissioning, reporting and settlement.

THE ALLOCATOR QUESTION

Can Brazilian livestock become a small, understandable portfolio sleeve with non-US real-asset exposure, defined vintages, observable operating data and returns driven by productive assets rather than market beta?

Today: potentially, but not yet institution-ready. The company must first prove legal enforceability, realized net USD economics, scalable servicing and independently reconciled asset evidence.

PRODUCT ARCHITECTURE

Regulated rights. Onchain administration.

The structure preserves accountable Brazilian market infrastructure while moving evidence, reconciliation, investor controls and settlement onchain where they add measurable value.

01	Approved cattle operators Beef or dairy pools are underwritten separately.
02	SISBOV-linked animal evidence Official identity, GTA, invoices, veterinary records and attestations.
03	CPR registered at B3 Eligible agricultural obligation and institutional record.
04	CRA and investor register Securitization documents remain legally controlling.
05	Realized-cash waterfall Costs, taxes, reserves, servicing, remuneration and amortization.
06	Authorized USDC settlement Permissioned wallets after BRL, FX, tax and custody controls.

INSTITUTIONAL NEED	DESIGN RESPONSE
Differentiated credit	Livestock obligations and closed vintages
Product customization	Duration, region, operator and reserve controls
Hybrid infrastructure	B3 and CRA records plus onchain administration
Stablecoin adoption	Native USDC as a settlement rail, not the legal claim
Accountability	SISBOV, GTA, verifiers, controlled accounts and exceptions
Honest liquidity	Closed vintages; no promise of continuous redemption

TWO TOKENS, TWO DIFFERENT JOBS

Animal NFT

A role-restricted digital twin connected one-to-one to SISBOV. It supports lifecycle evidence and grants no investment rights.

Investor token

A permissioned mirror of regulated financial rights. The CRA, B3 records and investor register remain legally controlling.

Cash discipline: four-month reporting and distributions use only realized cash after costs, taxes, reserves and fees. USDC changes the settlement rail - not BRL economics, FX risk or securities status.

SCALABLE BUSINESS MODEL

An agricultural credit and servicing engine

The venture-scale company is a repeatable platform that originates, underwrites, structures, monitors and services livestock credit products. A single herd is proof; the product factory is the business.

REVENUE LINE	CUSTOMER	VALUE DELIVERED
Origination and structuring	Vehicle / capital provider	Farm sourcing, underwriting, cohort design, documentation and closing
Servicing and management	Investment vehicle	Monitoring, collections, reporting, reconciliation, exceptions and payments
Performance participation	Investment vehicle	Realized-result incentive, subordinated to investor hurdles and data quality
Assurance software	Lenders / insurers / securitizers	SISBOV-linked evidence, collateral monitoring and audit trails
White-label infrastructure	Asset managers / distributors	Pool configuration, permissioning, reporting and settlement
Underwriting data	Future institutional partners	Verified farm, animal, cohort, health and exit-channel analytics

CONFIGURABLE PRODUCTS

1. Beef-finishing vintages

Recommended first product. Closed duration, observable acquisition, weight gain, mortality, days held and sale value.

2. Dairy productive herds

Later product. Recurring collections with separate feed, fertility, health, labor, milk-price and offtaker underwriting.

3. Institutional product factory

Long-term option. Configure duration, region, operator, concentration, reserve, currency and risk appetite.

The moat is verified operating history: animal performance, farm quality, losses, veterinary events, feed regime, geography, offtaker, FX and recoveries. Tokenization makes the system auditable and configurable; it is not the moat by itself.

Sequencing matters. Origination, servicing and performance fees are the near-term model. Software, white-label infrastructure and data products become credible only after the platform produces independently reviewable cohort results.

INSTITUTIONAL PROOF PLAN

Prove it before scale

The pilot is designed to falsify the thesis, not decorate it. No public token sale should precede legal validation, a clean operating cohort and independent reconciliation.

PHASE 0 Legal and operating proof Validate contracts, CPR/CRA eligibility, offering route, tax, SISBOV integration, regulated partners and at least 24 months of farm evidence.	PHASE 1 Sponsor-funded beef cohort 50-150 animals. Monthly reconciliation. Test movement, health, sale, death, missing data, verifier and retirement scenarios. Shadow USDC settlement.	PHASE 2 Regulated private pool Proceed only after a clean exit. Permissioned investors, independent attestation and no promise of daily liquidity or secondary trading.
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MINIMUM DASHBOARD - Realized gross and net BRL return by vintage - Net USD return after FX, fees and settlement - Mortality, theft, default and recovery - SISBOV-to-NFT-to-tag-to-invoice match - Independent-attestation coverage - CPR registration and valid CRA assignment - Reserve and distribution coverage - Farm, offtaker and provider concentrations - Cash yield separated from fair-value change	FALSIFICATION TESTS - The CPR/CRA chain is not eligible or enforceable - Net USD return does not compensate for the full risk stack - Animal evidence cannot be reconciled economically - Origination remains too bespoke to scale - Regulated partners cannot support the proposed flow - Losses and servicing costs consume diversification value - Liquidity expectations do not match the underlying cattle
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WHY THIS MAY MERIT A MULTI-ASSET CONVERSATION

The concept is deliberately framed around allocator questions: Does the exposure improve diversification? Is it credit-like and liability-aware? Can customization scale without operational sprawl? Does liquidity match the asset? Can accountable off-chain infrastructure coexist with onchain administration? Is risk-adjusted return credible after every layer of cost?

THE PROPOSED NEXT STEP

What evidence, liquidity design, risk budget, reporting and operating controls would make a Brazilian livestock-credit sleeve useful inside a sophisticated multi-asset portfolio?

Livestock Rent is seeking product-design feedback before raising external investor capital.

Sources: The Rundown, *Tokenization's Summer Surge Is On - But the Sector Is Still Tiny* (RWA Summit Brooklyn 2026); Livestock Rent RWA research memo (16 July 2026); official New York Life Investments Thomas Sy biography; public LinkedIn profile. Reviewed 20 July 2026.

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